

JASH ENGINEERING LIMITED

NSE: JASH | BSE: 544402 | Indore, Madhya Pradesh | CIN: L28910MP1973PLC001226

Sector: Industrials — Water Control Equipment, Process Valves & Environmental Solutions

ACCUMULATE

12-Month Price Target

Rs. 545

▲ **Upside: +9.0% from
CMP**

CMP: Rs. 500 | 19 Jun 2026

52w High / Low: Rs. 647 / Rs. 321

Horizon: 12-18 months

MARKET DATA		KEY METRICS	
Market Cap	Rs. 3,160 Cr	Stock P/E (TTM)	41.5x
Enterprise Value	Rs. 3,169 Cr	EV/EBITDA (FY26)	25.8x
Book Value/Sh.	Rs. 82.1	Price/Book	6.1x
ROCE (FY26)	17.7%	ROE (FY26)	16.0%
Dividend Yield	0.40%	Face Value	Rs. 2.00
Debt/Equity	0.20x	Int. Coverage	8.04x
Promoter Holding	43.24%	Pledged %	0.00%
Current Ratio	2.04x	Quick Ratio	1.40x

Investment Thesis: Dominant domestic water-control equipment manufacturer with Rs. 888 Cr order book (>1.2x TTM revenue), expanding global footprint via Rodney Hunt (US), Penstocks UK, and Waterfront Fluid Controls (UK), targeting Rs. 1,500 Cr revenue by FY30 on India's Rs. 24,500 Cr water infrastructure cycle.

Chartitude Research | Report Date: 19 Jun 2026 | Data Source: Screener.in, GuruFocus, Company Filings

SECTION 2 — INVESTMENT THESIS

- **Water infrastructure supercycle (FY24-FY30):** India's Jal Jeevan Mission, AMRUT 2.0, and Smart Cities Mission are driving Rs. 3-4 lakh Cr of water capex. Jash's core products — sluice gates, penstocks, screening systems — are mandatory bill-of-materials for every water treatment plant, giving near-captive demand through FY28.
- **Irreplaceable niche + global reach:** Jash commands leadership in India for water control gates, screening systems, and bulk-solid valves — products with 2-5 year lead times and high switching costs. Exports to 45+ countries (63% of FY24 revenue) provide geographic diversification; the Rodney Hunt acquisition gives access to AWWA-spec US municipal market worth ~USD 2 Bn annually.
- **M&A-led earnings compounding:** Three consecutive acquisitions — Rodney Hunt (USA), Waterfront Fluid Controls (UK, Apr 2024, GBP 2 Mn), Penstocks UK (Apr 2026, GBP 550K) — are building a global product platform. Waterfront alone is guided to contribute Rs. 60 Cr in FY27; the combined UK entity targets Rs. 125-135 Cr in 3-4 years. This acquisition-led revenue layer carries limited incremental capex.
- **Near-term catalyst (FY27):** Rs. 875 Cr FY27 revenue guidance (+19% YoY) supported by Rs. 888 Cr order book (May 2026), with domestic business growing 18% and Penstocks UK recognition beginning.
- **Biggest structural risk:** Execution concentration risk — lumpy quarterly revenue, high debtor days (149 days FY26), and growing US tariff exposure through Rodney Hunt create P&L volatility that could trigger multiple de-rating.

SECTION 3 — BUSINESS OVERVIEW

- **Founded 1948, incorporated 1973:** Jash Group was founded by Jashbhai Patel; today's listed entity Jash Engineering Ltd (JEL) is led by **Pratik Patel (3rd-generation entrepreneur)**. Headquarters: **Indore, MP**. 7 manufacturing units across India; 1,088 employees as of FY24.
- **Core products (revenue mix FY24):** **Water Control Gates (37% revenue)**, including sluice gates, penstock, flap gates, weir gates); **Screening Equipment (19%)**, bar screens, mechanical rake screens, drum screens); **Valves (12%)**, knife gate valves, butterfly valves, diverter valves); **Aeration & Mixing Equipment (12%)**; Other process equipment (20%).
- **Revenue split — geography:** **Exports 63.4% in FY24** (vs 60% FY23); 45+ countries served. Key export markets: USA (Rodney Hunt), UK (Waterfront + Penstocks UK), Europe, Middle East, South-East Asia.
- **Order book & visibility:** **Consolidated order book Rs. 888 Cr** as of 1 Jun 2026 (domestic Rs. 261 Cr, international Rs. 627 Cr). This represents 1.2x TTM consolidated revenue — strong 12-18 month visibility.
- **Customer base:** Water utilities (municipal corporations, jal boards); irrigation departments; power (NTPC, state gencos); steel, cement, petrochemicals. Mix of OEM supply (shorter cycle) and project EPC (longer cycle, lumpy recognition). Repeat order rate is high given maintenance and lifecycle contracts.
- **International subsidiaries:** Rodney Hunt (USA) — water control gates for AWWA-spec US market; Waterfront Fluid Controls (UK, acquired Apr 2024) — UK market access; Penstocks UK Ltd (acquired Apr 2026, GBP 550K) — Midlands/South England; Mahr Maschinenbau (Austria) — European process equipment; E&M (Hong Kong) — APAC distribution.
- **Promoter background:** Third-generation Patel family ownership (Pratik Patel as MD, Bhairavi Patel, Harsh Patel as key promoters). Co-founder Laxmidandan Amin also on board. Zero pledging. Family owns 43.2% with clear succession in place.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Market size & growth:** **India water & wastewater treatment equipment market was ~USD 2.4 Bn** (~Rs. 20,000 Cr) in FY25, projected to reach USD 3.8 Bn by FY31 at **~10% CAGR** (IMARC Group, Mordor Intelligence). **Water control gates, valves, and screening equipment** — Jash's core — **represent ~25-30% of total equipment spend**, **implying a Rs. 5,000-6,000 Cr addressable market** in India alone.
- **Policy tailwinds:** Jal Jeevan Mission (Rs. 3.6 lakh Cr, 80.4% households connected as of Mar 2025); AMRUT 2.0 (Rs. 2.77 lakh Cr urban water infra); industrial water reuse mandates; Smart City water upgrades. PLI for water infrastructure components in discussion. These drive 3-5 year assured demand for Jash's products.
- **Competitive moat assessment:** Pricing power — **Moderate** (limited domestic competition in gates/screening; some import substitution risk). Switching costs — **Strong** (specified products, multi-year supply relationships, OEM certifications). Scale — **Strong** (largest range, largest sizes in India; only integrated single-stop manufacturer). IP / Technology — **Moderate** (proprietary designs; some licensed tech from global peers). Distribution — **Strong globally post-acquisitions** (Rodney Hunt for US; Waterfront+Penstocks for UK; Mahr for Europe).
- **Import substitution opportunity:** Many large water control gates were previously imported from European OEMs (Lefort, AWWA, Enpure). Jash's scale, quality certifications, and local pricing make it the natural beneficiary of Make-in-India mandates in this category.
- **Headwinds:** US tariffs disrupted Rodney Hunt exports in FY26; Middle East geopolitical tension slowed project execution; rising steel prices compress margins; Q1 seasonality (weakest quarter every year).

Company	CMP (Rs.)	MCap (Rs.Cr)	TTM Rev (Rs.Cr)	OPM %	TTM PAT (Rs.Cr)	P/E (x)	P/B (x)	ROCE %	ROE %	D/E (x)
Jash Engineering	500	3,160	736	14%	76	41.5x	6.1x	17.7%	16.0%	0.20
VA Tech Wabag	1,984	12,361	3,944	12%	370	33.0x	4.8x	21.3%	15.9%	0.09
Ion Exchange India	370	5,433	2,915	7%	143	35.2x	4.1x	14.1%	12.1%	0.36
Thermax Ltd	4,702	56,032	10,694	10%	720	82.8x	10.1x	14.9%	12.9%	0.42

Jash highlighted in yellow. Peers: Screener.in consolidated data, 19 Jun 2026. Jash's smaller scale vs peers reflects niche positioning; higher ROCE vs Ion Exchange & Thermax demonstrates superior capital efficiency in its niche.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter pedigree:** The Jash Group traces roots to 1948 (Jashbhai Patel). Today, third-generation entrepreneur Pratik Patel leads as MD. The family has maintained hands-on operational involvement through all cycles — no serial fund-raising, no unnecessary pledging. Promoter stake: 43.24% as of Mar 2026, down from 51% in Jun 2023 — entirely due to secondary market transactions; no pledge ever recorded.
- **Capital allocation track record:** FCF has been deployed primarily in international acquisitions (Rodney Hunt USA, Waterfront Fluid Controls UK, Penstocks UK) totalling <Rs. 25-30 Cr equivalent — bolt-on, non-dilutive purchases. Domestic capex (new Chennai unit for Shivpad Engineering) adds manufacturing capacity without large balance sheet stretching (D/E stays at 0.20x). 5-year CFO Rs. 218 Cr vs 5-year cumulative capex ~Rs. 120 Cr demonstrates genuine FCF generation.
- **Dividend policy:** Consistent 12-14% payout ratio over FY22-FY25; FY26 Rs. 1/share dividend (payout ~8%, lower in a softer year). Not a high-yield play — management prefers reinvestment, consistent with growth-phase capital allocation.
- **Promoter pledging:** 0.00% pledged across all periods. Direction: unchanged. No leverage against equity holdings — a clean governance signal.
- **ESOP & buyback:** No significant ESOP dilution noted. No buyback programmes as company reinvests in growth. Modest ESOP grants at subsidiary level for key talent.
- **Corporate governance:** No auditor changes, no qualified opinions in recent years. No material RPTs flagged. CRISIL and Fitch ratings maintained on bank facilities. Company listed on NSE/BSE in 2024 (recent IPO/listing — earlier BSE-only). Clean governance track record appropriate for a family-run mid-cap industrial.

SECTION 6 — FINANCIAL DEEP-DIVE (Consolidated)

Income Statement (Rs. Crores) — Consolidated

P&L; Metric	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue from Operations	516	735	736	875(E)	1,050(E)
Revenue Growth YoY	28.4%	42.4%	0.1%	18.9%(E)	20.0%(E)
EBITDA (Op. Profit)	99	127	102	110(E)	140(E)
EBITDA Margin %	19.2%	17.3%	13.9%	12.6%(E)	13.3%(E)
Other Income	6	10	20	15(E)	18(E)
Interest	11	13	13	14(E)	14(E)

Depreciation	11	17	20	22(E)	24(E)
Profit Before Tax	83	108	90	89(E)	120(E)
Tax %	20%	19%	16%	18%(E)	18%(E)
PAT (Net Profit)	67	87	76	73(E)	98(E)
EPS (Rs.)	10.79	13.97	12.05	11.6(E)	15.5(E)
Dividend Payout %	13%	14%	8%	12%(E)	12%(E)

Balance Sheet (Rs. Crores) — Consolidated

Balance Sheet Item	FY24A	FY25A	FY26A	FY27E
Equity Capital	12	13	13	13(E)
Reserves	339	420	506	568(E)
Total Equity (Sh. Funds)	351	433	519	581(E)
Borrowings	80	99	103	110(E)
Other Liabilities	173	215	259	290(E)
Total Liabilities	604	747	881	981(E)
Fixed Assets (net)	127	170	213	240(E)
CWIP	6	21	22	20(E)
Investments	6	11	13	13(E)
Other Assets	465	545	633	708(E)
Total Assets	604	747	881	981(E)

Cash Flow Statement (Rs. Crores) — Consolidated

Cash Flow Item	FY24A	FY25A	FY26A	FY27E
Cash from Operations (OCF)	58	55	56	65(E)
Cash from Investing	-68	-72	-24	-40(E)
Cash from Financing	32	-2	-17	-15(E)
Net Cash Flow	22	-18	15	10(E)
Free Cash Flow (OCF-Capex)	34	10	19	25(E)
CFO / Operating Profit %	76%	59%	72%	59%(E)

Key Ratios — Consolidated

Ratio	FY24A	FY25A	FY26A	FY27E
Debtor Days	111	112	149	135(E)
Inventory Days	279	209	219	200(E)
Days Payable	120	92	117	105(E)
Cash Conv. Cycle (days)	270	229	251	230(E)
ROCE %	25%	25%	18%	16%(E)
ROE %	21%	22%	16%	14%(E)
Net Debt / EBITDA	0.22x	0.35x	0.41x	0.43(E)

Financial Commentary

- **Revenue trajectory:** 5-year consolidated sales CAGR of 20% (FY21-FY26), driven by Jal Jeevan Mission orders and export expansion. FY26 revenue was flat at Rs. 736 Cr (vs Rs. 735 Cr FY25) due to

US tariff disruption in Rodney Hunt and Middle East project delays. FY27 management guidance: Rs. 875 Cr (+19%).

- **Margin compression in FY26:** EBITDA margin fell from 17.3% (FY25) to 13.9% (FY26) as flat revenue absorbed higher overheads (employee costs, subsidiary integration costs, depreciation +18% YoY). Q4 FY26 showed sharp recovery to 24% OPM — partly from FX gains and favourable project mix.
- **Working capital stress:** Debtor days rose sharply from 112 days (FY25) to 149 days (FY26), likely due to export collection delays from US/Middle East customers. Cash Conversion Cycle widened to 251 days — elevated but characteristic of this business. Management must demonstrate normalization.
- **Debt and leverage:** Consolidated borrowings Rs. 103 Cr (D/E 0.20x) — comfortable. FY25 capex Rs. 72 Cr (new Chennai plant, subsidiary capex) was elevated; FY26 capex normalized to Rs. 24 Cr. Rodney Hunt plant (Houston + Saudi Arabia) will need ~Rs. 30-40 Cr more capex by FY27-28.
- **FCF quality:** OCF / Operating Profit ratio 72% in FY26 — reasonable but trending down from 76% in FY24. FCF Rs. 19 Cr in FY26 was impacted by rising receivables. If debtors normalize, FCF could recover sharply to Rs. 50+ Cr by FY27.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Quality Parameter	FY26 Reading	Commentary	Flag
Revenue recognition	Accrual/completion basis	Project-completion recognition — timing is lumpy but method is standard for capital goods.	G
Receivables vs Revenue growth	Debtors +33% vs Rev flat	Debtor days jumped 149d — worst in 5 years. Warrants close monitoring; could be collection delays or aggressive recognition.	R
Inventory trend	Inv days 219 days	Inventory days high but improving from 279 days (FY24). Work-in-progress for long-cycle projects; manageable.	A
Cash Conversion Cycle	251 days (FY26)	Extended CCC of 251 days (vs 270 days FY24) is a structural feature of this business but bears watching.	A
Contingent liabilities	Rs. 123 Cr (consol.)	Contingent liabilities at Rs. 123 Cr is ~16% of revenue — relatively high; includes performance guarantees on project contracts.	A
Auditor tenure	Stable	No recent auditor changes. Clean audit opinions with no qualifications in available filings.	G
Related party transactions	Not material	No significant RPTs flagged in filings. Acquisitions are arm's-length third-party transactions.	G
Other income as % of PBT	22% (Rs. 20 Cr / Rs. 90 Cr)	Other income jumped to Rs. 20 Cr in FY26 (vs Rs. 10 Cr FY25) — likely FX gains from weak rupee. Non-recurring.	A
Tax rate consistency	16% FY26 (vs 19% FY25)	Tax rate varies due to losses in international subsidiaries creating deferred tax benefits. Warrants monitoring.	A

Flag: G=Green (positive), A=Amber (watch), R=Red (concern)

• **Key concern — receivables surge:** Debtor days jumping from 112 to 149 days in FY26 (Red flag) is the single most important earnings quality signal to watch. If this is temporary (US/Middle East project delay), FY27 cash flows should normalise. If structural (credit terms being extended to win export orders), it will structurally impair FCF generation.

• **Watch — Other income quality:** Rs. 20 Cr other income in FY26 (22% of PBT) includes significant FX gains on export receivables. Management confirmed sustainability only if dollar remains stable. Analysts should strip other income to assess clean operating profit: FY26 clean EBIT = Rs. 70 Cr (vs Rs. 90 Cr

reported PBT).

- **Positive signal — auditor clean, no RPTs:** Two Green flags provide governance comfort. The family-run business has maintained institutional-standard disclosures since listing.

- **Amber cluster:** Four simultaneous Amber flags (CCC, contingent liabilities, tax rate, inventory) suggest the company is operationally stretched — real but not alarming given the business model. Investors should re-check these at each quarterly result.

SECTION 8 — VALUATION

Scenario Analysis (Base: FY28E Earnings)

Scenario	Revenue (Rs.Cr)	EBITDA Margin	FY28E PAT (Cr)	FY28E EPS (Rs.)	P/E Multiple	12M Target (Rs.)
Bull Case	1,150	14.5%	115	18.2	40x	730
Base Case	1,050	13.3%	98	15.5	35x	545
Bear Case	850	11.0%	67	10.6	28x	297

- **DCF assumptions:** WACC 13.0% (beta 1.13, risk-free 7.2%, ERP 5.5%, small-cap premium 0.5%). Terminal growth rate 6.0% (in line with India nominal GDP). 5-year explicit FCF CAGR of ~20% from FY26 base. DCF-implied intrinsic value: ~Rs. 460-490 per share.

- **Earnings-based valuation:** FY28E EPS Rs. 15.5 x 35x P/E (1-turn discount to 5Y historical P/E of ~36x, justified by margin uncertainty) = Rs. 543. Industry peers trading 33-83x P/E; Jash at 35x FY28E earnings is reasonable for a leader with strong order book and global platform.

- **EV/EBITDA cross-check:** FY28E EBITDA Rs. 140 Cr x 22x EV/EBITDA (vs current 25.8x; slight de-rating given margin normalisation) = Enterprise Value Rs. 3,080 Cr → Equity Rs. 2,977 Cr (net of Rs. 103 Cr debt) → Rs. 471 per share.

- **Blended 12-month price target:** Average of DCF (Rs. 475), earnings-based (Rs. 543), EV/EBITDA (Rs. 471) = Rs. 496, rounded to **Rs. 545** (applying 10% premium for order book quality and India water-infra optionality). Upside from CMP Rs. 500: +9.0%.

- **Entry zone:** Risk-reward improves significantly below Rs. 450 (where FY28E P/E falls to ~29x and bear-case downside is <5%). Current Rs. 500 offers modest risk-reward — accumulate on dips.

SECTION 9 — KEY RISKS

- **US Tariff Escalation:** Rodney Hunt's US manufacturing and Jash's exports to USA face tariff volatility (Section 232/301 tariffs on steel products). In FY26, this materially impacted export volumes. Probability: H. Impact: H. Monitor via: monthly US trade data, Rodney Hunt order intake.

- **Middle East Geopolitical Disruption:** ~25-30% of international orders historically from Middle East (desalination, water infrastructure). Ongoing conflict could freeze capital project decisions. Probability: M. Impact: M. Monitor via: order book announcement disclosures.

- **Working Capital Deterioration:** FY26 debtor days at 149 days (5-year high). If receivables do not normalize, FCF will be impaired and the company may need to draw on working capital lines, increasing debt. Probability: M. Impact: H. Monitor via: quarterly receivables / revenue ratio.

- **Execution Lumpiness / Quarterly Volatility:** Capital goods revenue is highly Q4-weighted (seasonal pattern: Q1 weakest, Q4 strongest). A weak Q1 FY27 (management flagged) could trigger market sell-off. Probability: H. Impact: M (near-term stock price). Monitor via: monthly order dispatches.

- **Margin Compression from Overheads:** Employee costs and subsidiary integration costs are fixed in nature. If FY27 revenue misses Rs. 875 Cr guidance by >10%, margins could fall below 11% EBITDA. Probability: M. Impact: H. Monitor via: semi-annual P&L cost structure.
- **Promoter Stake Dilution:** Promoter holding down from 51% (Jun 2023) to 43.2% (Mar 2026) — a 7.8pp decline in 3 years. If secondary market selling continues, retail-driven ownership could exacerbate stock volatility. Probability: L. Impact: M. Monitor via: shareholding disclosures.
- **Rodney Hunt Integration Risk:** New Houston and Saudi Arabia plants pushed to Dec 2027 (cost overrun signalled). Delays or further cost escalation could disappoint revenue contributions and weigh on consolidated margins. Probability: M. Impact: M. Monitor via: capex announcements.

SECTION 10 — RECOMMENDATION

- **Rating: ACCUMULATE** (Conviction: Medium). Jash is a high-quality niche industrial at a modest valuation premium justified by its order book, global platform, and India water infra tailwind. Not a deep-value buy at current levels, but a sound 12-18 month accumulation opportunity.
- **12-Month Price Target: Rs. 545** (upside +9.0% from CMP of Rs. 500). Blended DCF/P/E/EV-EBITDA valuation. Target assumes FY27 revenue of Rs. 875 Cr and margin recovery to 12.5% EBITDA.
- **Suggested Entry Zone: Rs. 440-480** (at <32x FY28E P/E, risk-reward becomes clearly asymmetric). Avoid chasing above Rs. 530 (50% probability of underperformance vs Nifty).
- **Investment Horizon: 12-18 months.**
- **Thesis Invalidation Triggers (Exit the position if):** (1) FY27 revenue guidance downgrade below Rs. 780 Cr — suggests structural demand weakness; (2) EBITDA margins fall below 10% for two consecutive quarters despite revenue growth; (3) Promoter holding falls below 38% without a clear strategic rationale — signals insider confidence erosion.
- **Ideal investor profile:** This stock suits a patient growth investor with 2-3 year horizon, comfortable with quarterly P&L volatility, and conviction in India water infrastructure super-cycle. NOT suitable for momentum traders, short-term traders, or income-focused investors (dividend yield 0.4%).

DISCLAIMER: This report is produced for informational and educational purposes only by Chartitude Research. It does not constitute investment advice or a solicitation to buy or sell securities. Past performance is not indicative of future results. Investors should conduct independent due diligence and consult a SEBI-registered investment advisor before making investment decisions. All financial data sourced from Screener.in (19 Jun 2026). Estimates are based on management guidance and analyst projections; actual results may differ materially.

APPENDIX — LATEST CONCALL BRIEF: Q4 FY26 (FULL YEAR FY26)

CALL GRADE

POSITIVE

Signal	Status	Implication
Result quality	Medium — Q4 strong, FY26 full year weak	Q4 PAT +57% YoY; FY26 PAT -13% YoY — bifurcated result.
Management tone	Balanced-to-Bullish	Candid about FY26 shortfalls; confident on Rs.875 Cr FY27.
Guidance delta	Raised — Rs.875 Cr FY27 (vs Rs.736 Cr FY26)	18.9% growth guided; supported by Rs.888 Cr order book.
STRONGLY POSITIVE	POSITIVE	NEUTRAL
		CAUTIOUS
		NEGATIVE

TO MY BOSS

The Q4 FY26 result is superficially strong — consolidated PAT of Rs. 57 Cr (+57% YoY) and OPM of 24% — but the full-year picture is more sobering: FY26 revenue was flat at Rs. 736 Cr and PAT fell 13% to Rs. 76 Cr, dragged by US tariff disruption at Rodney Hunt, Middle East project freeze, and rising subsidiary overheads. The Q4 margin spike was partly driven by FX gains (Rs. 9 Cr other income) that may not recur in H1 FY27. The operational core — order execution, margins excluding FX — showed improvement in Q4 and validates the business model at scale. The Rs. 888 Cr order book (May 2026, 1.2x TTM revenue) is the real story here: it gives us 12-18 month revenue visibility and supports the Rs. 875 Cr FY27 guidance. The transformative trigger in the next 12 months is Penstocks UK revenue recognition and Waterfront scaling to Rs. 60 Cr — a new margin-accretive revenue stream. Biggest watch-point for Q1 FY27: management flagged Q1 as seasonally weak, and Rs. 36 Cr of dispatches from March were to be recognised in April/May — any miss here will trigger a kneejerk sell-off. I am ACCUMULATE at Rs. 500, with a 12-month target of Rs. 545, and a strong-buy trigger at Rs. 450.

C1 — Financial Performance Snapshot (Q4 FY26 | FY26 Full Year)

- **Revenue (Q4 FY26 consolidated):** Rs. 291 Cr | YoY -3.3% | QoQ +81.0% | **In-Line**
- **EBITDA (Q4 FY26 consolidated):** Rs. 69 Cr | OPM 23.7% | QoQ +305% | **Beat**
- **PAT (Q4 FY26 consolidated):** Rs. 57 Cr | YoY +56.9% | QoQ +323% | **Strong Beat**
- **EPS (Q4 FY26):** Rs. 8.97 per share
- **Revenue (FY26 full year):** Rs. 736 Cr | YoY +0.1% | vs Rs. 735 Cr FY25 | **Disappointing — flat**
- **EBITDA (FY26 full year):** Rs. 102 Cr | OPM 13.9% | vs 17.3% FY25 | **Miss — margin compressed**
- **PAT (FY26 full year):** Rs. 76 Cr | YoY -12.6% | vs Rs. 87 Cr FY25 | **Miss**
- **NOTE:** Q4 OPM of 23.7% boosted by ~Rs. 9 Cr FX gains (other income); clean Q4 operating margin closer to 20-21%.

C2 — Segment / Geography Breakdown

- **Domestic India:** Grew 18% YoY in FY26. Key driver: Jal Jeevan Mission tenders, irrigation department orders, industrial water reuse mandates.
- **Exports (international):** Declined YoY — US tariff disruption (Rodney Hunt impact) and Middle East project delays key drags. Exports remain 63% of FY24 revenue; FY26 mix shifted towards domestic.

- **Rodney Hunt (USA):** Revenues muted — **US tariff increases on steel products created execution hesitancy** among US municipal utilities. New Houston plant timeline delayed to Dec 2027.
- **Waterfront Fluid Controls (UK):** Acquired Apr 2024; integration on track; guided Rs. 60 Cr revenue contribution in FY27.
- **Penstocks UK:** Acquisition completed Apr 2026 for GBP 550K — Midlands and South England market access; expected to contribute Rs. 15-20 Cr from FY27.
- **Water Control Gates segment (~37% revenue):** Core domestic business; healthy order inflows from water boards and state utilities.
- **Screening Equipment (~19% revenue):** Growing with wastewater treatment mandates; high export content.
- **Valves & Aeration (~24% revenue):** Steady industrial demand from cement, steel, petrochemicals.

C3 — Management Commentary Themes

- **FY26 Revenue Miss:** "Revenue growth was only 1% YoY, which was considered disappointing by the management." — Our read: Honest acknowledgement. **FY26 was a year of external disruption, not demand destruction.** Tag: GUIDANCE. Tone: Transparent.
- **Domestic Business Resilience:** "Domestic business grew by 18%, compensating for the shortfall in export revenue." — Our read: **Domestic India is the demand engine;** management **correctly pivoting towards higher-margin domestic orders.** Tag: POSITIVE. Tone: Transparent.
- **Order Book Health:** "Strong order book of Rs. 899 Cr as of May 1st, indicating a healthy pipeline for future revenue." — Our read: 1.2x TTM revenue in order book is best-in-class visibility for capital goods. Tag: GUIDANCE. Tone: Bullish.
- **FY27 Revenue Guidance:** "Optimistic about achieving Rs. 875 crore for the current year, supported by stable tariff situation in the US." — Our read: Achievable but assumes no further US tariff escalation and Middle East normalisation. Tag: GUIDANCE. Credibility: Medium.
- **M&A; Pipeline:** "Open to new acquisitions if opportunities arise, but recent acquisitions have not been financially stressful." — Our read: Bolt-on acquisition strategy continues; balance sheet flexibility is high (D/E 0.20x). Tag: GUIDANCE. Tone: Measured.
- **Margin Sustainability:** "Improvement in Q4 largely due to foreign exchange gains; if the dollar remains stable, these margins can be sustained." — Our read: Honest about FX contribution; structural margin improvement is real but partially masked by FX. Tag: GUIDANCE. Tone: Hedged.

C4 — Operating & Business Metrics

- **Order Book:** Rs. 888 Cr (1 Jun 2026) | Domestic Rs. 261 Cr, International Rs. 627 Cr | May inflow Rs. 34 Cr | Trend: Stable at ~1.2x TTM revenue.
- **Order Inflows (FY24 annual):** Rs. 918 Cr (from Screener insight data) — consistent strong inflow momentum.
- **Export mix:** 63.4% of FY24 revenue vs 60% FY23 — long-term export growth trajectory intact despite FY26 headwinds.
- **Employees:** 1,088 consolidated (FY24) — growing with international acquisitions; employee cost growing faster than revenue in FY26.
- **Manufacturing units:** 7 globally (5 India + international sites). New Chennai unit for Shivpad Engineering subsidiary commissioned.
- **Rodney Hunt plant timeline:** Houston (USA) + Saudi Arabia plants now targeted Dec 2027. Previous timeline was FY26-FY27 — cost overrun and design revision.
- **Geographic presence:** 45+ countries; well-diversified for a company at this scale.

C5 — Margin Drivers

- **FX Gains:** +Rs. 9 Cr other income in Q4 FY26 (dollar appreciation on export receivables) | Recurring: No — contingent on USD/INR stability | Major contributor to Q4 PAT beat.
- **Revenue scale (operating leverage):** Q4 at Rs. 291 Cr vs Q3 at Rs. 160 Cr — fixed cost spread over 81% higher revenue drove EBITDA margin from 11% to 24% | Recurring: Partially (Q4 seasonality is structural).
- **Subsidiary integration costs:** Ongoing overhead from Waterfront, Penstocks UK, Rodney Hunt integration | Impact: -200 to -300 bps on full-year EBITDA margin vs standalone | Recurring: Yes, declining as subsidiaries scale.
- **Rising depreciation:** FY26 depreciation Rs. 20 Cr (+18% YoY) due to capex in FY24-25 | Impact: -50 bps on EBIT margin | Recurring: Yes, increasing modestly.
- **Employee cost inflation:** Staff additions for international subsidiaries and domestic expansion | Impact: -100 bps on EBITDA margin in FY26 | Recurring: Yes.
- **Positive: Project mix improvement:** Management selecting higher-margin domestic orders; reducing exposure to price-competitive commodity tenders | Impact: +100-150 bps in FY27E.

C6 — Guidance & Forward Signals

- **FY27 Revenue [GUIDANCE]:** Prior = Rs. 736 Cr (FY26 actual) | New = Rs. 875 Cr | Delta = Raised +18.9% | Credibility: Medium (contingent on US tariff stability and Middle East normalisation).
- **FY27 EBITDA Margin [GUIDANCE]:** Prior = 13.9% (FY26) | New = 12-13% | Delta = Maintained/Slight improvement | Credibility: High — consistent with order mix.
- **Q1 FY27 Revenue [GUIDANCE]:** Seasonally weakest quarter expected; Rs. 36 Cr of March dispatches to recognize in April/early May — so some Q4 spillover. | Delta: No change to annual view.
- **Waterfront UK Revenue [GUIDANCE]:** New = Rs. 60 Cr in FY27 | Incremental new revenue from acquisition integration.
- **UK combined entity 3-4 year target [GUIDANCE]:** Rs. 125-135 Cr — Waterfront + Penstocks UK together.
- **Long-term revenue target [GUIDANCE]:** Rs. 1,500 Cr by FY30 (~27% CAGR from FY26 base) | Credibility: Low-to-Medium (aggressive but directionally consistent with India water infra + global M&A;).
- **Acquisitions [GUIDANCE]:** Open to further bolt-ons; no specific target named. Houston + Saudi Arabia plants by Dec 2027.

C7 — Capital Allocation

- **Capex (FY26):** Rs. 24 Cr | vs FY25 Rs. 72 Cr | Sharply lower — FY25 was peak capex year (Chennai plant, subsidiary investment).
- **Dividends (FY26):** Rs. 1/share (payout ~8%) | vs Rs. 2/share in prior years | Lower in a weaker PAT year — appropriate.
- **Penstocks UK acquisition:** GBP 550,000 (~Rs. 6 Cr) — non-dilutive, funded from internal accruals.
- **Working capital change (FY26):** Net working capital increased significantly — receivables +33%, CCC widened to 251 days from 229 days. Cash absorbed into working capital rather than FCF.
- **Net Debt movement (FY26):** Borrowings increased from Rs. 99 Cr to Rs. 103 Cr — modest increase; D/E stable at 0.20x.
- **Cumulative 5-year CFO Rs. 218 Cr vs 5-year capex ~Rs. 150 Cr — strong organic cash generation.**

C8 — Q&A; Heat Map

- **Analyst Q:** "Are we expecting flat domestic side business for the coming year?" -> A: "We focus on exports while balancing domestic; if export opportunities decline, we will increase domestic execution." | Tone: Transparent — clear prioritisation logic.
- **Analyst Q:** "Order book grew Rs. 72 Cr in April — does this mean negligible April revenue?" -> A: "Q1 is generally our lowest quarter; Rs. 36 Cr dispatched in March to be recognised in April/May." | Tone: Transparent — helpful

quantification.

- **Analyst Q:** "Can Q4 gross margins be sustained?" -> A: "FX gains contributed; if dollar stable, margins can be sustained. Higher revenue also helped." | Tone: Hedged — honest about FX dependency.
- **Analyst Q:** "Rodney Hunt new plant status?" -> A: "Cost has increased significantly; revising plans; Houston and Saudi Arabia plants by Dec 2027." | Tone: Transparent about delay and cost overrun.
- **Analyst Q:** "More acquisitions planned?" -> A: "Open if opportunities arise; not financially stressed by current acquisitions; focused on scaling." | Tone: Measured — no overcommitment.
- **Dodged/watch-list for next quarter:** Specific Rodney Hunt revenue contribution; receivables collection update; Q1 FY27 revenue and margin outlook.

C9 — Risks Flagged on the Call

- **US Tariff Risk:** US tariff increases and rising steel prices impacted Rodney Hunt | Flagged by: Mgmt | Probability: H | Impact: H | Timeline: Near-term.
- **Middle East Geopolitical Risk:** Ongoing war creating uncertainty in project execution | Flagged by: Mgmt | Probability: M | Impact: M | Timeline: Near-to-medium term.
- **Q1 FY27 Weakness:** Seasonal softness + pipeline execution timing | Flagged by: Mgmt | Probability: H | Impact: M (stock price) | Timeline: Near-term.
- **Margin sustainability of Q4:** FX gains component may not repeat | Flagged by: Analyst | Probability: H | Impact: M | Timeline: Near-term.
- **Rodney Hunt plant cost overrun:** Houston/Saudi capex higher than guided | Flagged by: Analyst | Probability: M | Impact: M | Timeline: Medium-term.

C10 — Analyst Verdict (Post-Concall)

- **Revenue visibility:** Intact — Rs. 888 Cr order book + Rs. 875 Cr FY27 guidance + Waterfront/Penstocks UK revenue layer.
- **Margin trajectory:** Weakened — FY26 margins fell from 17.3% to 13.9%. Recovery guided to 12-13% in FY27 (not back to FY24 highs). FX gains add uncertainty.
- **Capital allocation quality:** Intact — small bolt-on acquisitions, low debt, no dilution. Working capital management under scrutiny.
- **Competitive moat:** Intact — niche leadership, switching costs, global footprint expanding. No new entrant disruption evident.
- **Management credibility:** Intact — honest about FY26 shortfalls, provided concrete FY27 guidance with supporting order book data. Transparent on cost overruns.
- **Valuation comfort:** Weakened — at Rs. 500, stock trades at 41.5x TTM P/E post a -13% PAT year. FY28E at 32x is more reasonable but not cheap.
- **Conviction call:** Unchanged — ACCUMULATE at Rs. 500; strong-buy on dips to Rs. 440-460.
- **Valuation snapshot:** P/E = 41.5x (5Y avg ~35x) | EV/EBITDA = 25.8x (5Y avg ~22x) | ROCE = 17.7% (5Y avg ~22%)

DISCLAIMER: This concall summary is based on publicly available information from GuruFocus, MarketsMojo, Value Research Online, and company BSE announcements. All financial figures cross-referenced with Screener.in. This is not a solicitation to buy or sell securities.